BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric and Gas Service.

Case 25-E-XXXX, 25-G-XXXX

January 2025

Prepared Testimony of:

Joshua C. Nowak -

Return on Equity Panel

Joshua C. Nowak
293 Boston Post Road West, Suite 500
Marlborough, Massachusetts 01752

Consolidated Edison Company of New York, Inc.
Direct Testimony of Return on Equity Panel

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Consolidated Edison Company of New York, Inc.
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I. INTRODUCTION AND QUALIFICATIONS

Q. Please state your name, affiliation, and business address.

A. My name is Joshua C. Nowak. I am employed by Concentric Energy Advisors, Inc. ("Concentric") as Vice President. Concentric is a management consulting and economic advisory firm, focused on the North American energy and water industries. Based in Marlborough, Massachusetts, and with offices in Washington, D.C. and Calgary, Alberta, Concentric specializes in regulatory and litigation support, financial advisory services, energy market strategies, market assessments, energy commodity contracting and procurement, economic feasibility studies, and capital market analyses. My business address is 293 Boston Post Road West, Suite 500, Marlborough, Massachusetts 01752.

Q. On whose behalf are you submitting this Direct Testimony?

A. I am submitting this Direct Testimony on behalf of Consolidated Edison Company of New York, Inc. ("CECONY" or the "Company"), which is a wholly owned subsidiary of Consolidated Edison, Inc. ("CEI"). My Direct Testimony is part of the Company's rate case filings being submitted to the New York State Public Service Commission ("Commission").

Consolidated Edison Company of New York, Inc.
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Q. Please describe your experience in the energy and utility industries and your educational and professional qualifications.

A. I hold a Bachelor's degree in Economics from Boston College, and have more than 15 years of experience in providing economic, financial, and strategic advisory services. As a consultant, I primarily advise clients in regulated utility industries and have provided testimony regarding financial matters before multiple regulatory agencies. I have advised numerous energy and utility clients on a wide range of financial and economic issues with primary concentrations in valuation and utility rate matters. Many of these assignments have included the determination of the cost of capital for valuation and ratemaking purposes. I have provided testimony before the Federal Energy Regulatory Commission ("FERC"), as well as state and provincial jurisdictions in the U.S. and Canada, including the Commission. A summary of my professional and educational background is presented as Exhibit___(JCN-1).

II. PURPOSE AND OVERVIEW OF TESTIMONY

Q. What is the purpose of your Direct Testimony?

A. The purpose of my Direct Testimony is to present evidence and provide a recommended range for the Company's cost of equity (sometimes referred to as the Return on Equity or "ROE" for rate-setting purposes) and capital

structure for the Company's electric and gas distribution utility operations. My analysis and recommendations are supported by the data and support presented in Exhibits___(JCN-2) through (JCN-43).

Q. Please provide a brief overview of the analyses that led to your ROE recommendation.

A. As discussed in more detail in my Direct Testimony below, it is important to consider the results of several analytical approaches in determining a reasonable recommendation for the Company's ROE. To establish my ROE recommendation, I developed a proxy group consisting of utilities that face investment risk generally comparable to that faced by CECONY. I developed a multi-stage Discounted Cash Flow ("DCF") model and two forms of the Capital Asset Pricing Model ("CAPM"). I have presented the DCF and CAPM results weighted equally, and with the Commission's preferred 2/3 weighting of the DCF and 1/3 weighting of the CAPM. As a check on the reasonableness of these results, I also considered the results of the Bond Yield Plus Risk Premium ("Risk Premium") model, which is based on authorized returns in other state jurisdictions and the corresponding government bond yield at the time decisions were issued.

The use of a multi-stage DCF model and two forms of the CAPM is

consistent with the approach employed by the Commission in prior cases. While my equal weighting of the DCF and CAPM results diverges from the weighting typically employed by the Commission, I explain why placing equal weight on the DCF and CAPM approaches is reasonable and consistent with the goals of the Recommended Decision ("Generic Finance RD") issued in the Generic Finance Proceeding ("GFP"), Case 91-M-0509, which is the docket that is consistently cited by the Commission when setting ROEs for New York State utilities.

In addition, I have considered how current market conditions have affected the results of the ROE estimation models. Although the United States ("U.S.") Federal Reserve (the "Fed") has started reducing short-term interest rates as inflation has moderated in 2024, long-term interest rates on U.S. Treasury bonds are in excess of 4.50 percent and, according to the December issue of Blue Chip Financial Forecasts, are expected to average 4.30 percent over the longer-term from 2026-2030. Further, I evaluated CECONY's risk profile, including the emerging risks due to decarbonization policy in New York State, the Company's capital spending plans, and the regulatory environment in New York relative to that of the proxy group companies.

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Q. Please summarize the results of the ROE estimation models that you considered in your analyses.

A. The results of my analyses are summarized in Exhibit___(JCN-2) The mean results range from 10.31 percent to 10.55 percent, depending on the weighting given to the DCF and CAPM results.

Q. What are your conclusions regarding the appropriate cost of equity for the Company?

A. Based on the quantitative and qualitative analyses (Exhibits___(JCN-3) through___(JCN-7)) and the weighting of the DCF and CAPM results presented in Exhibits___(JCN-2), as well as my assessment of the business and financial risk environment of CECONY relative to the proxy group (Exhibits___(JCN-8) through___(JCN-10)), I conclude that the appropriate ROE for the Company is within a range from 10.00 percent to 11.00 percent. From within that range, I recommend that the Commission authorize an ROE of 10.50 percent, which is a reasonable estimate of the investor-required ROE given the Company's business and financial risk profile.

Q. Please summarize your analysis of the appropriate ratemaking capital structure for CECONY.

A. As discussed in Section VIII of my Direct Testimony below, CECONY's requested equity ratio of 48.00 percent is well below the mean and median equity ratios of 53.34 percent and 53.35 percent, respectively, for the operating utility companies in the proxy group over the last four years. As a result, CECONY has greater financial risk than the proxy group. My conclusion is that the Company's requested equity ratio is reasonable, if not conservative, relative to the proxy group.

Q. How is the remainder of your Direct Testimony organized?

A. The remainder of my Direct Testimony is organized as follows:

Section III – Discusses the regulatory guidelines and financial considerations pertinent to the development of the cost of capital;

Section IV – Briefly discusses the current capital market conditions and the effect of those conditions on the Company's cost of equity;

Section V – Explains my selection of the proxy group used to develop my analytical results;

Section VI – Explains my analyses and the analytical bases for my ROE recommendation;

Section VII - Summarizes the specific regulatory and business risks and equity issuance costs that have a direct bearing on the Company's cost of equity;

Section VIII – Provides an assessment of the Company's proposed capital structure;

Section IX – Provides an assessment of the effect of a multi-year rate plan on the ROE; and

Section X – Summarizes my conclusions and recommendations.

III. REGULATORY GUIDELINES AND FINANCIAL CONSIDERATIONS

Q. Please describe the guiding principles to be used in establishing the cost of capital for a regulated utility.

A. The foundations of public utility regulation require that utilities receive a rate of return sufficient to attract needed capital to maintain service to customers at reasonable rates. The basic tenets of this regulatory doctrine originate from two decisions by the United States Supreme Court: *Bluefield Waterworks and Improvement Company v. Public Service Commission of West Virginia*, 262 U.S. 679 (1923) ("*Bluefield*"), and *Federal Power Commission v. Hope Natural Gas Company,* 320 U.S. 591 (1944) ("*Hope"*). In *Bluefield*, the Court stated:

> A public utility is entitled to such rates as will permit it to earn a return on the value of the property which it employs for the convenience of the public equal to that generally being made at the same time and in the same general part of

> the country on investments in other business undertakings which are attended by corresponding risks and uncertainties…
>
> The return should be reasonably sufficient to assure investor confidence in the financial soundness of the utility and should be adequate, under efficient and economical management, to maintain and support its credit and enable it to raise the money necessary for the proper discharge of its public duties. (*See* Exhibit___(JCN-11))

In *Hope*, the Court established a standard for the ROE that remains the guiding principle for ratemaking regulatory proceedings to this day:

> [T]he return to the equity owner should be commensurate with returns on investments in other enterprises having corresponding risks. That return, moreover, should be sufficient to assure confidence in the financial integrity of the enterprise, so as to maintain its credit and to attract capital. (*See* Exhibit___(JCN-12))

Q. Please explain how these principles apply in the context of the regulated rate of return.

A. Regulated utilities rely primarily on common stock and long-term debt to finance permanent property, plant, and equipment. The allowed rate of return for a regulated utility is based on its weighted average cost of capital, where the costs of the individual sources of capital (*i.e.*, debt and equity) are weighted by their respective book values. The ROE represents the cost of raising and retaining equity capital and is estimated with one or more analytical techniques that use market data to quantify investor requirements

for equity returns. However, the ROE cannot be derived mechanically through quantitative metrics and models alone. To estimate the ROE properly, the financial, regulatory, and economic context must also be considered.

Based on the standards established in *Hope* and *Bluefield*, the authorized ROE in this proceeding should provide the Company with the opportunity to earn a fair and reasonable return that is:

- Adequate to allow the Company to attract the capital that is necessary to provide safe and reliable service (the "capital attraction standard");
- Sufficient to allow the Company to maintain its financial integrity (the "financial integrity standard"); and
- At a level that is comparable to returns required on investments of similar risk (the "comparability standard").

Importantly, a fair and reasonable return must satisfy all three of these standards. The authorized ROE should enable CECONY to finance capital expenditures on reasonable terms and to raise capital under a full range of capital market circumstances to serve its customers. The DCF and CAPM approaches, while fundamental to the ROE determination, are still only models. The results of these models cannot be mechanically applied

without also using informed judgment to consider economic and capital market conditions and the relative risk of CECONY as compared to the proxy group companies.

Q. Did the Commission conduct a proceeding to review the standard for estimating the Cost of Capital for a regulated utility?

A. Yes. On August 21, 1991, the Commission established the GFP to review the Commission's then-current methodology for estimating the cost of equity and to examine various alternatives (Case 91-M-0509, *Proceeding on Motion of the Commission to Consider Financial and Regulatory Policies for New York State Utilities*, Order Establishing Proceeding, issued August 21, 1991).

Q. What was the purpose of the GFP?

A. The Commission's goal in the GFP was to eliminate controversy around ROE calculations and attempt to find common ground on contentious issues by developing a consensus approach for setting utility equity returns. Among other things, the Commission questioned whether there should be greater consistency in rate of return determinations from company to company, such that differences in returns could be directly attributed to differences in risk between companies, and whether the Commission's

historical primary reliance on DCF-based ROE determinations continued to provide fair returns. That proceeding ultimately led to consensus documents, agreed to by the parties, and ultimately the issuance of a Recommended Decision, Case 91-M-0509, Recommended Decision, (issued July 19, 1994) ("Generic Finance RD"), which, although never formally adopted by the Commission, has guided the Commission over the intervening three decades.

Q. Please describe the conclusions outlined in the Generic Finance RD.

A. The Generic Finance RD concluded that the Commission should implement a generic process for setting returns, based on proxy groups (not company-specific data), and that sole reliance on the DCF method should be replaced with a combination of the DCF and CAPM methodologies. The Generic Finance RD proposed to use as a preferred convention a methodology that gives a respective 2/3 to 1/3 weighting to the results of the DCF and CAPM analyses, respectively. The Generic Finance RD (p. 60) further recognized that the CAPM "should figure prominently in the analysis" because this methodology provides fundamental information on interest rates and the returns required by stocks as a result of changes in interest rates. At that time, the CAPM was not accorded the same level of prominence as the DCF analysis, given that the former had previously only been used as a check.

In the intervening 30 years, the Commission has consistently relied on both the DCF and CAPM methodologies. Further, while the Generic Finance RD recognized a benefit to establishing an "operating norm" with respect to setting the ROE, it also recognized that there may be good reason to adjust either the weighting of the DCF and CAPM models or to rely on different ROE estimation models. Specifically, the Generic Finance RD (pp. 60-61) provided the following guidance:

> In either an annual proceeding to determine a rate of return or in individual proceedings, the 2/3 DCF and 1/3 CAPM convention should be the presumption, but as Multiple Intervenors suggests, parties would not be barred from introducing new methods or different weightings. Such parties, however, would have the burden of convincing other parties and the Commission of the relevance or superiority of their proposals.

Q. Is the analysis presented in your Direct Testimony consistent with the intent of the Generic Finance RD?

A. Yes, it is. As discussed in greater detail in Section VI below, the methodologies that I have applied to estimate the ROE are consistent with Commission precedent since the issuance of the Generic Finance RD in the GFP. Moreover, the models used in my analysis extend the principles advanced in the Generic Finance RD to best practices in financial analysis

and current capital market conditions, as was contemplated in the Generic Finance RD.

Specifically, I rely on the weighted results of the DCF and CAPM analyses. In developing these ROE estimation models, I rely on a proxy group of risk-comparable companies as discussed in Section V below. I have used both the DCF and CAPM approaches to estimate the Company's ROE. The multi-stage DCF model that I relied on is consistent with the methodology the Commission has relied on in that it allows growth rates to vary over time. Consistent with the fundamental principles established by the Commission, I have applied two forms of the CAPM: Traditional and Zero Beta. Finally, consistent with the principles of the GFP, to reduce the volatility associated with reliance on any one model, I have considered the DCF and CAPM results weighted equally, and with the Generic Finance RD's proposed 2/3 weighting of the DCF and 1/3 weighting of the CAPM.

Q. Do the principles and intent of the Generic Finance RD in the GFP require adherence to a static formula?

A. No, they do not. The GFP and the Generic Finance RD did not require strict adherence to a static formula; rather, they promoted several basic principles and afforded parties the flexibility to propose alternative approaches to

address changing financial market conditions. When faced with the task of estimating the cost of equity, analysts are inclined to gather and evaluate as much relevant data (both quantitative and qualitative) as can be reasonably analyzed. Analysts and academics understand that ROE models are tools to be used in the ROE estimation process, and that strict adherence to any single approach, as opposed to multiple approaches, can lead to flawed conclusions. Because capital markets are dynamic, not static, no model can exactly pinpoint the correct ROE; rather, each model brings its own perspective and set of inputs that inform the estimate of the ROE. That position is consistent with the Court's finding in *Hope* (320 U.S. at 602) that "[u]nder the statutory standard of 'just and reasonable,' it is the result reached, not the method employed, which is controlling."

Although each model brings a different perspective and adds depth to the analysis, each model also has its own inherent limitations and should not be relied upon individually without corroboration from other approaches. Changes to inputs due to changes in economic conditions could have widely different effects on the results of the various analyses. Regardless of which analyses are performed to estimate the investors' required ROE, the analyst must apply informed judgment to assess the reasonableness of results and to determine the best weighting to apply to the results under prevailing

capital market conditions. No one model can reliably and consistently estimate the cost of capital that meets the fairness standard of *Hope* and *Bluefield* in all market conditions.

IV. CAPITAL MARKET CONDITIONS

Q. Why is it important to analyze capital market conditions?

A. The ROE estimation models rely on market data that are either specific to the proxy group, in the case of the DCF model, or to the expectations of market risk, in the case of the CAPM. The results of the ROE estimation models can be affected by prevailing market conditions at the time the analysis is performed. While the ROE that is established in a rate proceeding is intended to be forward looking, the analyst uses current and projected market data, specifically stock prices, dividends, growth rates and interest rates in the ROE estimation models to estimate the required return for the subject company.

Q. **What are the key factors affecting the cost of equity for regulated utilities in the current and prospective capital markets?**

A. The cost of equity for regulated utilities is affected by several key factors in the current and prospective capital markets: (1) inflation has gradually moderated in 2024; (2) the Federal Reserve has started to reduce short-term

interest rates as inflation gradually moves toward the Federal Reserve's 2.0 percent target; and (3) long-term interest rates remain elevated and are not expected to decline in the near- to intermediate-term. In this section, I discuss each of these factors and how it affects the models used to estimate the cost of equity for regulated utilities.

Q. Please discuss economic conditions.

A. The Federal Reserve continued to tighten monetary policy in the first half of 2023 to combat higher than expected inflation, and economic conditions were unsettled due to ongoing inflationary pressure and the prospects for weaker economic growth or a possible recession. Real Gross Domestic Product ("GDP") grew at an annual rate of 2.5 percent in 2023. In 2024, real GDP growth has averaged 1.6 percent in the first quarter of 2024, 3.0 percent in the second quarter of 2024, and 3.1 percent in the third quarter of 2024, as shown in Exhibit___(JCN-13).

Q. Please discuss the path of monetary policy since 2022.

A. As a result of persistently high inflation, the Federal Reserve raised the federal funds target rate from 0.00 percent to 0.25 percent in March 2022 to a range of 5.25 percent to 5.50 percent (the highest level in the last 20 years) in July 2023. In August 2024, Federal Reserve Chair Jerome Powell

signaled that the economic data on inflation and unemployment was likely to lead to a reduction in short-term interest rates as soon as the Federal Open Market Committee ("FOMC") meeting in September 2024. The Federal Reserve reduced the federal funds rate by 50 basis points on September 18, 2024, and by 25 basis points at subsequent meetings on November 7, 2024 and December 18, 2024. The federal funds rate now stands within a range of 4.25 to 4.50 percent. At the December FOMC meeting, the Federal Reserve also released its economic projections for 2025-2027. Importantly, the Federal Reserve now expects to reduce short-term interest rates by an additional 50 basis points in 2025, as compared to September 2024 projections when those same economic projections indicated an additional 100 basis points of rate cuts in 2025 (*See* Exhibit___(JCN-14), U.S. Federal Reserve, Summary of Economic Projections, December 18, 2024, at 4). Chair Powell has consistently indicated that future monetary policy would remain dependent on economic data, the evolving outlook for inflation and unemployment, and the balance of risks. In addition, in announcing the Federal Reserve's December 2024 decision to cut the federal funds rate by 25 basis points, Chair Powell noted the uncertainty related to the economic policies of the new administration and how those policies might affect economic data.

Q. Do these reductions in the federal funds rate in 2024 indicate that capital costs for utilities are expected to decrease in the future?

A. No, they do not. It is clear that the extended period of record low interest rates and moderate inflation following the financial crisis of 2007-2009 has ended, even though inflation has decreased from the elevated levels experienced in the wake of the COVID-19 pandemic. Importantly, long-term interest rates have increased considerably since the Commission issued an Order on July 20, 2023, adopting the Joint Proposal in the 2022 CECONY rate cases, which included an ROE of 9.25 percent.

Q. How does the present interest rate environment compare to when the current authorized ROE of 9.25 percent was set by the Commission for CECONY?

A. Exhibit___(JCN-15) compares current average 30-year Treasury bond yields as of November 30, 2024 to the average 30-year Treasury bond yield as of June 30, 2023 (immediately prior to when the Commission adopted the Joint Proposal in the 2022 CECONY rate cases) and as of October 31, 2021 (the period of the ROE analysis in the 2022 CECONY rate cases), as well as to near-term and longer-term projections. As shown in Exhibit___(JCN-15), the 30-day average 30-year Treasury bond yield has

increased by 63 basis points since the Commission adopted the Joint Proposal in CECONY's 2022 rate cases and by 249 basis points since the Company's ROE analysis was performed in those cases. Long-term interest rates are expected to remain near current levels over the near- to intermediate-term.

Q. Please explain why these higher interest rates are important to the ROE analysis.

A. Interest rates are a direct input to both the CAPM and the Risk Premium models. As interest rates increase, the cost of capital generally increases, and the ROE estimates from those two models also increase, although not on a one-to-one basis. Further, while interest rates are not a direct input to the DCF model, dividend yields on utility stocks must compete with yields on Treasury bonds. As interest rates on Treasury bonds increase, utilities must offer a higher dividend yield to attract and retain investors, signaling an increase in the cost of equity for utilities. All else equal, higher dividend yields produce higher ROE estimates in the DCF model.

Q. Please discuss the status of inflation.

A. While the overall consumer price index ("CPI") has declined from the extreme levels of June 2022 when it reached an annualized rate of 9.1

percent, the core inflation rate has been more persistent and remains well above the Federal Reserve's target of two percent over the long-term. As shown in Exhibit___(JCN-16), the core inflation rate, which excludes volatile food and energy prices, was 3.3 percent for the 12-month period ended November 2024, according to the Bureau of Labor Statistics.

Inflation expectations also remain above the Federal Reserve's target of 2.0 percent, as shown in the University of Michigan's latest consumer confidence survey (*See* Exhibit___(JCN-17), University of Michigan Consumer Confidence Survey, Preliminary Results for December 2024), which indicated that U.S. consumers expect inflation of approximately 2.6 percent over the next year, while long-run inflation expectations were at 3.2 percent, as compared to 3.1 percent in the prior month.

Q. What is your conclusion regarding the effect of capital market conditions on the cost of equity for CECONY in this proceeding?

A. My conclusion is that while core inflation has gradually moderated in 2024 it remains well above the Fed's target of 2.0 percent, and although short-term interest rates have declined, current and projected long-term 30-year Treasury bond yields remain between 4.30 and 4.50 percent, which is well above the level when CECONY's current authorized ROE was established

by the Commission. Under these conditions, it is reasonable that equity investors would require a higher ROE to compensate them for the additional risk associated with owning common stock. These circumstances are reflected in the results of multiple models used to estimate the cost of equity, such as the DCF, CAPM, and Risk Premium models.

V. PROXY GROUP SELECTION

Q. Please explain why you have used a group of proxy companies to determine the cost of equity for CECONY.

A. In these proceedings, we are focused on estimating the cost of equity for the Company's rate-regulated electric and natural gas distribution utility operations. Because ROE is a market-based concept and CECONY is not publicly traded, it is necessary to establish a group of companies that are both publicly traded and comparable to the Company in terms of business and financial risk. Even if CECONY were a publicly traded entity, it is possible that transitory events could bias the Company's market value in one way or another in a given period of time. A significant benefit of using a proxy group is the ability to mitigate the effects of short-term events that may be associated with any specific company and is consistent with the Commission's historical practice. The proxy companies used in my ROE analyses possess a set of business and operating characteristics similar to

the Company's utility operations, and thus provide a reasonable basis for estimating the Company's ROE.

Q. Please provide a summary profile of the Company.

A. CECONY's business consists of its regulated electric distribution and transmission operations and natural gas distribution operations in New York City and Westchester County. The Company also provides steam service in parts of Manhattan. The Company provides electric service to almost 3.7 million customers and natural gas distribution service to approximately 1.1 million customers. CECONY's long-term issuer ratings are A3 (Moody's Investors Service, Outlook: Stable), A- (S&P Global Ratings, Outlook: Stable) and A- (FitchRatings, Senior Unsecured Rating, Outlook: Stable).

Q. How did you select the companies included in your proxy group?

A. The Commission has historically relied on proxy groups generally composed of electric-only and combination gas and electric utilities. In recognition of that practice, I began with the companies that Value Line classifies as "Electric Utilities," which includes electric-only and combination utilities. However, it is important to recognize that the Company's operations include both gas and electric utility operations, so the inclusion of electric-only utilities in the proxy group may overweight

the risk profile of the Company's electric utility operations. Therefore, I also included companies that Value Line classifies as "Natural Gas Distribution Companies," which includes natural gas-only utilities. That combined group includes 46 domestic U.S. utilities. I applied the following screening criteria to establish a risk-comparable proxy group that includes both electric utility companies and natural gas distribution companies:

- In order that information regarding the proxy group companies is consensus-based, I eliminated companies that are not covered by at least two utility industry equity analysts;
- I eliminated companies that do not have investment grade corporate credit ratings and/or senior unsecured bond ratings according to S&P Global and Moody's because such companies do not have a similar financial risk profile to that of the Company;
- I eliminated companies that have not paid regular dividends or do not have positive earnings growth projections from at least one source because such characteristics are incompatible with the DCF model;
- In order that the proxy group consists of companies that are primarily transmission and distribution regulated utilities, I eliminated companies that have owned generation comprising

greater than 60 percent of the company's MWh sales to ultimate customers;

- In order that the proxy group consists of companies that are primarily regulated utilities, I eliminated companies with less than 70 percent of total operating income derived from regulated utility operations; and
- I eliminated companies known to be party to a significant merger, acquisition, or other transformational transaction as such activities may have a temporary effect on such companies' stock prices and projections unrelated to the overall cost of capital.

Q. What is the composition of your proxy group?

A. My proxy group consists of the following 19 companies: American Electric Power Company, Inc., Atmos Energy Corporation, Avista Corporation, Black Hills Corporation, CMS Energy Corporation, Edison International, Eversource Energy, Exelon Corporation, NiSource Inc., NorthWestern Corporation, Northwest Natural Gas Company, OGE Energy Corporation, ONE Gas, Inc., Public Service Enterprise Group Inc., Portland General Electric Company, PPL Corporation, Spire, Inc., TXNM Energy, Inc., Xcel Energy Inc.

Q. Has the Commission typically relied on similar screening criteria when estimating a utility's ROE?

A. Yes. The Commission has typically relied on screening criteria that are similar to those that I have used to develop my proxy group. The proxy group that is typically relied on by the Commission is composed of a large group of dividend-paying companies with investment grade bond ratings and regulated revenues of at least 70 percent that are not engaged in merger-related or corporate restructuring activities. (*see*, *e.g.*, Case 13-E-0030, *Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Electric Service*, Testimony of Craig E. Henry, at 14-16).

In establishing my proxy group, however, I relied on the percentage of net operating income derived from regulated operations instead of the percentage of total revenue derived from regulated operations because net operating income is more representative of the contribution of that business segment to earnings and the corporation's overall financial position. Specifically, a significant portion of gas and electric utility company revenue is derived from the costs of purchased gas, purchased fuel, and purchased power, which, in most cases, are recoverable through tracking

mechanisms and do not, therefore, contribute to earnings. Furthermore, this portion of total revenue can fluctuate considerably based on the cost of gas and other inputs. Therefore, relying exclusively on a revenue screen does not provide a clear or necessarily consistent indicator of the contribution of the regulated utility operations to a company's earnings. Net operating income excludes the cost of purchased commodity and therefore more closely represents the contribution of the business segment to earnings.

VI. COST OF EQUITY ESTIMATION

Q. How is the required ROE determined?

A. While the cost of debt can be directly observed, the cost of equity and the required ROE are market-based and, therefore, must be estimated based on observable market data. The required ROE is determined by using one or more analytical techniques that rely on market data to quantify investor expectations regarding the range of required equity returns. Informed judgment is applied, based on the results of those analyses, to determine where within the range of results the cost of equity for a company falls. As a general proposition, the key consideration in determining the cost of equity is that the methodologies employed reasonably reflect investors' views of the financial markets, the proxy group companies, and the subject company's risk profile.

Q. What methods did you use to determine the Company's cost of equity?

A. Consistent with Commission precedent, I used the DCF model and CAPM as the primary approaches. In establishing my recommended ROE, I relied on a multi-stage form of the DCF model, and, consistent with the Commission's stated preference, I used both the traditional form of the CAPM as well as the Zero-Beta form of that model. In both forms of the CAPM, I incorporated a forward-looking measure of the Market Risk Premium ("MRP").

Q. Please elaborate on why it is important to use more than one model to estimate the cost of equity.

A. The cost of equity cannot be directly observed in the same way as the cost of debt or preferred stock. Various financial models have been developed to estimate the cost of equity, including the DCF, CAPM, and Risk Premium models. Each model has strengths and limitations, depending on market conditions, and no one model always produces reliable or "accurate" results. In his financial textbook, Financial Management Theory and Practice, Fourth Edition, copyright 1985, (at 256), Dr. Eugene F. Brigham writes:

> In practical work, *it is often best to use all three methods* – CAPM, bond yield plus risk premium, and DCF – and then apply judgment when the methods produce different results. People experienced in estimating equity capital costs

recognize that both careful analysis and some very fine judgments are required (*See* Exhibit___(JCN-18)).

The important conclusion to be drawn is that these various financial models provide estimates of the cost of equity. They cannot be mechanically applied to produce a precise or "correct" authorized ROE for a regulated utility such as CECONY.

A. DISCOUNTED CASH FLOW MODEL

Q. Please describe the DCF model.

A. The DCF model is based on the theory that a stock's current market price represents the present value of all expected future cash flows. In its most general form, the DCF model is expressed as follows:

$$P_0 = \frac{D_1}{(1+r)^1} + \frac{D_2}{(1+r)^2} + \cdots + \frac{D_n}{(1+r)^n} \qquad [1]$$

Where P_0 represents the current market stock price, D_1, D_2, … D_n are all expected future dividends, and *r* is the discount rate, or required ROE. As discussed below, I have not included the constant growth form of the DCF model, but instead have focused on a multi-stage form of the DCF model.

Q. Please describe the DCF model you relied on.

A. The multi-stage DCF model is an extension of the constant growth form that enables the analyst to specify growth rates over multiple stages. As with the constant growth form of the DCF model, the multi-stage form defines

the cost of equity as the discount rate that sets the current price equal to the discounted value of future cash flows. A multi-stage DCF model addresses the possibility that mean five-year growth rates may not be reasonable in perpetuity and that payout ratios could vary over time.

Q. Please describe the structure of the multi-stage DCF model.

A. The multi-stage DCF model that I have used sets the proxy company's current stock price equal to the present value of future cash flows received over three time periods. In all three periods, cash flows are equal to the annual dividend payments that stockholders receive. The first period is a short-term growth period that consists of the first five years; the second period is a transition period from the short-term growth rate to the long-term growth rate that occurs over five years (*i.e.*, years six through ten); and the third period is a long-term growth period that begins in year 11 and continues in perpetuity. The ROE is then calculated as the rate of return that results from the initial stock investment and the dividend payments over the analytical period.

Q. Has the Commission relied on a multi-stage DCF model in prior cases?

A. Yes. The Commission has relied on a two-stage form of the DCF model in prior cases. (*see*, Case 10-E-0362, *Proceeding on Motion of the Commission*

as to the Rates, Charges, Rules and Regulations of Orange and Rockland Utilities, Inc. for Electric Service, Order Establishing Rates for Electric Service, (issued June 17, 2011) ("2011 O&R Rate Order"), at 68-69). The two-stage model that the Commission has relied on and the multi-stage model that I rely on both define the cost of equity as the discount rate that sets the current stock price equal to the discounted value of future cash flows that are expressed as projected dividends. Both models project dividends using growth rates over multiple periods.

Q. Does the multi-stage DCF model offer advantages over the two-stage model traditionally relied upon by the Commission?

A. Yes. The general form of the two-stage model relied upon by the Commission involves a near-term growth stage based on projected dividends and a long-term growth stage employing an estimated long-term growth rate in dividends (*see*, *e.g.*, 2011 O&R Rate Order). The Commission's application of a two-stage DCF model assumes that a company's growth abruptly shifts to a long-run growth state after the initial five-year period. In contrast, the multi-stage model relies on growth rates over three periods, as described above. The multi-stage form of the DCF model provides for a gradual transition to a company's expected long-term

growth, whereas the two-stage DCF model assumes the transition from short-term to long-term growth occurs in one year.

Q. What market data did you use to calculate the current stock price in your DCF model?

A. The stock prices that I relied on in my DCF model are based on the average market closing prices for the proxy companies over the three months ended November 30, 2024.

Q. What growth rates did you rely on in the multi-stage DCF model?

A. As shown in Exhibit___(JCN-3), I began with the current annualized dividend as of November 30, 2024, for each proxy group company. In the first stage of the model, the current annualized dividend is escalated based on the average of the three-to five-year earnings growth estimates reported by S&P Capital IQ Pro, Zacks Investment Research, and the Value Line Investment Survey. For the third stage of the model, I relied on long-term projected growth in GDP. The second stage growth rate is a transition from the first stage growth rate to the long-term growth rate on a geometric average basis.

Q. Why do you believe that earnings growth rates are the appropriate measure of growth in the first stage of the multi-stage DCF model?

A. Earnings are the fundamental driver of a company's ability to pay dividends; therefore, earnings growth is the appropriate measure of a company's long-term growth. In contrast, changes in a company's dividend payments are based on management decisions related to cash management and other factors. For example, a company may decide to retain certain earnings to fund investments rather than pay out those earnings as dividends. Therefore, dividend growth rates are less likely than earnings growth rates to reflect investor perceptions of a company's growth prospects.

Q. Is there support for the use of analysts' earnings growth estimates in the DCF model?

A. Yes. There is significant academic support for the use of analysts' earnings growth rates. In addition, the majority of the data that are publicly available to investors sets forth analysts' projections of earnings growth rates. Value Line is the only publication I am aware of that provides projected dividend growth rates.

Q. Please summarize the academic research on growth rates and stock valuation.

A. The relationship between various growth rates and stock valuation metrics has been the subject of much academic research. Many published articles specifically support the use of analysts' earnings growth projections in the DCF model in general, as well as for a method of calculating the expected MRP. In particular, while this article is focused on the calculation of the CAPM, Dr. Robert Harris demonstrates that financial analysts rely on earnings forecasts (referred to in the article as "FAF") and the use of a constant growth DCF formula to estimate the expected MRP (*See* Exhibit___(JCN-19), Robert S. Harris, Using Analysts' Growth Forecasts to Estimate Shareholder Required Rates of Return, Financial Management, Spring 1986, at 59-60, 66). Dr. Harris's work demonstrates that analysts rely on earnings as the appropriate measure of growth in the DCF model.

Professors Carleton and Vander Weide also performed a study to determine whether projected earnings growth rates are superior to historical measures of growth in the implementation of the DCF model (*See* Exhibit___(JCN-20), James H. Vander Weide, Willard T. Carleton, Investor growth expectations: Analysts vs. history, The Journal of Portfolio Management,

Spring 1988). Although the purpose of that study was to "investigate what growth expectation is embodied in the firm's current stock price" (p. 78), the authors clearly indicate the superiority of earnings projections in the context of the DCF model. In addition, the Carleton and Vander Weide study was updated to determine whether the finding that analysts' earnings growth forecasts are relevant in the stock valuation process still holds. The results of that updated study continued to demonstrate the importance of analysts' earnings forecasts, including the application of those forecasts to utility companies (*See* Exhibit___(JCN-21), Advanced Research Center, Investor Growth Expectations, Summer, 2004).

Similarly, Harris and Marston presented "estimates of shareholder required rates of return and risk premia which are derived using forward-looking analysts' growth forecasts." (*See* Exhibit___(JCN-22), Robert S. Harris, Felicia C. Marston, Estimating Shareholder Risk Premia Using Analysts' Growth Forecasts, Financial Management, Summer 1992). In addition, Brigham, Shome and Vinson noted that "evidence in the current literature indicates that (1) analysts' forecasts are superior to forecasts based solely on time series data; and (2) investors do rely on analysts' forecasts." (*See* Exhibit___(JCN-23), The Risk Premium Approach to Measuring a Utility's Cost of Equity, Financial Management, Spring 1985).

Q. Are there other practical considerations with respect to the Commission's historical reliance on dividend per share growth rates during the initial five-year term of its Two-Stage DCF model?

A. Yes. In prior cases, Staff of the New York State Department of Public Service's ("Staff") sole reliance on Value Line projections of dividend per share growth is not appropriate for several reasons. First, the use of only dividend growth rates ignores the aforementioned substantial body of academic research demonstrating that earnings growth rates are the most relevant factor in stock price valuation. The Generic Finance RD indicates that the Telecommunications Group, which included Staff, supported the use of earnings per share growth in the DCF models employed to estimate the ROE (Generic Finance RD at 44). Second, projections of dividend growth, which would not include growth in retained earnings, only measure a portion of a company's growth. Therefore, earnings growth projections are more complete estimates of total company growth than are projected dividend growth rates. Finally, Value Line's four- to six-year projections are not consensus estimates, but reflect the viewpoint of a single analyst. Therefore, the Commission's models, which have historically relied only on projected dividend per share growth rates from Value Line, reflect the growth expectations of a single analyst in the first stage of the model. In

contrast, consensus estimates of projected earnings per share growth rates are publicly available and widely used by investors, including Zacks Investment Research. Each of these consensus forecasts considers the growth expectations for each company based on the expectations of multiple equity analysts. It is not reasonable to exclude these timely and widely available sources of information from the analysis when these real-time sources have become the more common data points relied on by investors.

Q. How did you calculate the long-term GDP growth rate?

A. As shown in Exhibit___(JCN-4), the long-term growth rate of 5.51 percent is based on the real GDP growth rate of 3.18 percent from 1929 through 2023 (U.S. Department of Commerce, Bureau of Economic Analysis, National Income and Product Accounts Tables, Table 1.1.6, April 30, 2024), and a projected long-term inflation rate of 2.26 percent ((1 + 0.0318) x (1 + 0.0226) -1 = 0.055 or 5.51%). The projected rate of inflation is based on three measures beyond the 2024-2029, near-term growth period: (1) the average long-term projected growth rate in the CPI of 2.20 percent, as reported by Blue Chip Financial Forecasts (*See* Confidential Exhibit___(JCN-24), Vol. 43, No. 12, November 27, 2024, at 14); (2) the compound annual growth rate of the CPI for all urban consumers for 2031-

2050 of 2.26 percent as projected by the Energy Information Administration ("EIA") in the Annual Energy Outlook 2023; and (3) the compound annual growth rate of the GDP chain-type price index for 2031-2050 of 2.31 percent, also reported by the EIA in the Annual Energy Outlook 2023 (U.S. Energy Information Administration, Annual Energy Outlook 2023, Table 20).

Q. Why is the long-term GDP growth rate a reasonable estimate of long-term growth in the multi-stage DCF model?

A. Long-term estimates of GDP growth are commonly used in regulatory proceedings as a proxy for the long-term growth rate in the multi-stage DCF analysis. That application is based on the common theoretical assumption that, over the long-run, all companies in the economy will tend to grow at the same constant rate. That assumption is designed to address the uncertainty associated with estimating individual company growth rates over very long-time horizons and is not meant to suggest that company growth rates in the economy will indeed converge in practice over any given period.

Q. Is your calculation of GDP growth consistent with the way in which other analysts' compute estimates of long-term GDP growth?

A. Yes. Investors understand that the U.S. economy goes through cycles of growth and contraction. Therefore, it is appropriate to consider the longest period possible to measure historical real growth in GDP. This view is consistent with Morningstar's explanation (*See* Exhibit___(JCN-25), Ibbotson and Associates, Stocks, Bonds, Bills and Inflation, 1926-2012, 2013 Valuation Yearbook, at 52) about measuring GDP growth:

> Growth in real GDP (with only a few exceptions) has been reasonably stable over time; therefore, its historical performance is a good estimate of expected long-term future performance. By combining the inflation estimate with the real growth rate estimate, a long-term estimate of nominal growth is formed.

Furthermore, Morningstar (at 59) supports the use of long-term historical data:

> The 87-year period starting with 1926 is representative of what can happen: it includes high and low returns, volatile and quiet markets, war and peace, inflation and deflation, and prosperity and depression. Restricting attention to a shorter historical period underestimates the amount of change that could occur in a long future period. Finally, because historical event-types (not specific events) tend to repeat themselves, long-run capital market return studies can reveal a great deal about the future. Investors probably expect "unusual" events to occur from time to time, and their return expectations reflect this.

Q. What is your conclusion regarding the methodology typically relied on by Staff to estimate the sustainable growth rate in the two-stage DCF model?

A. I have several concerns with the use of the sustainable growth rate in the two-stage DCF model. First, the sustainable growth rate is not a long-term measure of growth and as such should not be applied in perpetuity in the second stage of the model. Second, the exclusive use of Value Line data, which is a single analyst's viewpoint, to establish the sustainable growth rate assumes that investors do not consider any of the other financial information that is widely available when establishing future dividend expectations. In addition, the sustainable growth rate calculation includes Value Line's ROE projections as an input, implicitly accepting them as reasonable. However, Value Line's ROE projections are often significantly different from the ROE estimates produced by the two-stage DCF model. Finally, Staff's sustainable growth rate methodology implicitly assumes that investors establish long-term growth expectations based entirely on short-term, company-specific projections. My conclusion is that it is unreasonable to assume that investors would ignore the expectations of long-term macroeconomic growth in establishing the long-term growth estimates for an electric or natural gas distribution utility or any other company.

Q. What are the results of your DCF analyses?

A. As shown in Exhibit___(JCN-3), the multi-stage DCF analysis based on a three-month average stock price and a range of near-term growth rate assumptions produces a mean ROE estimate of 9.83 percent.

B. CAPITAL ASSET PRICING MODEL

Q. Please briefly describe the CAPM.

A. The CAPM is a risk premium approach that estimates the cost of equity for a given security as a function of a risk-free return plus a risk premium (to compensate investors for the non-diversifiable or "systematic" risk of that security). Systematic risks are fundamental market risks that reflect aggregate economic measures and therefore cannot be mitigated through diversification. Unsystematic risks reflect company-specific risks that can be mitigated and ultimately eliminated through investments in a portfolio of companies and/or market sectors. As shown in Equation [2], below, the CAPM is defined by four components, each of which must theoretically be a forward-looking estimate:

$$k_e = r_f + \beta(r_m - r_f) \qquad [2]$$

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where:

k_e = the required market ROE

β = Beta coefficient of an individual security

r_f = the risk-free rate of return

r_m = the required return on the market as a whole

The term ($r_m - r_f$) represents the MRP. According to the theory underlying the CAPM, unsystematic risk can be diversified away, therefore investors should be concerned only with systematic or non-diversifiable risk. Non-diversifiable risk is measured by Beta, which is defined as:

$$\beta = \frac{Covariance(r_e, r_m)}{Variance(r_m)} \quad [3]$$

where:

r_e = the rate of return for the individual security or portfolio.

The variance of the market return, noted in Equation [3], above, is a measure of the uncertainty of the general market, and the covariance between the return on a specific security and the market reflects the extent to which the return on that security will respond to a given change in the market return. Thus, Beta represents the risk that the selected security will not be effective in diversifying systematic market risks.

Q. What risk-free rate did you use in your CAPM analysis?

A. I used three estimates of the yield on Treasury bonds: (1) the current three-month average yield on 30-year Treasury bonds (4.31 percent) (Bloomberg Professional as of November 30, 2004); (2) the near-term projected 30-year Treasury yield for 2025-2026 (4.42 percent) (Blue Chip Financial Forecasts, Vol. 43, No. 12, November 27, 2024, at 2); and (3) the projected 30-year Treasury yield for the period 2026-2030 (4.30 percent) (Blue Chip Financial Forecasts, Vol. 43, No. 12, November 27, 2024, at 14). In determining the security most relevant to the application of the CAPM, it is important to select the term (or maturity) that best matches the life of the underlying investment. As noted by Morningstar (*See* Exhibit___(JCN-26), Morningstar Inc., Ibbotson SBBI 2013 Valuation Yearbook, at 44):

> The traditional thinking regarding the time horizon of the chosen Treasury security is that it should match the time horizon of whatever is being valued… Note that the horizon is a function of the investment, not the investor. If an investor plans to hold stock in a company for only five years, the yield on a five-year Treasury note would not be appropriate since the company will continue to exist beyond those five years.

Because utility companies represent long-duration investments, it is appropriate to use yields on long-term Treasury bonds as the risk-free rate component of the CAPM. In my view, the 30-year Treasury bond is the appropriate security for that purpose. Because the cost of capital is intended to be forward-looking, it is appropriate to consider projected measures of

the MRP and interest rates.

Q. Please describe your estimate of the MRP used in your CAPM.

A. The estimated MRP is based on the expected return on the S&P 500 Index, less the 30-year Treasury bond yield. The expected return on the S&P 500 Index is calculated using a DCF model for all companies in the index based on market capitalization-weighted growth rates and dividend yields. The MRP implied by each of the three Treasury yields discussed above is used in my CAPM analysis to produce a range of estimates.

The Commission previously has relied upon the calculation of a projected MRP, based on the difference between the estimated forward-looking required market return for the S&P 500, as provided by Bank of America Merrill Lynch's ("BAML"), and the risk-free rate (s*ee e.g.*, 2011 O&R Rate Order, at 77). As a practical matter, that approach is consistent with the Market DCF-derived forward-looking MRP estimate discussed above (*see also* Exhibit___(JCN-6). Nonetheless, I have relied on the average of: (1) the forward-looking required market return for the S&P 500 as calculated using a DCF model for all companies in the index; and (2) the estimated forward-looking required market return for the S&P 500, as provided by BAML (Exhibit___(JCN-27) includes the relevant pages from the BAML's

three most recent *Quantitative Profiles* with data through November 30, 2024).

Q. What Beta coefficient did you use in your CAPM analysis?

A. I relied on the average Beta coefficients for the proxy group companies as reported by Bloomberg and Value Line (*see* Exhibit___(JCN-5)). The Beta coefficients reported by Bloomberg were calculated using ten years of weekly returns relative to the S&P 500 Index. Value Line's calculation is based on five years of weekly returns relative to the New York Stock Exchange Composite Index.

Q. Did you consider another form of the CAPM in your analysis?

A. Yes. In prior proceedings, the Commission has relied upon the Zero-Beta CAPM (the form of which is sometimes referred to as the "Empirical CAPM", *see e.g.,* Exhibit___(JCN-28), Roger A. Morin, New Regulatory Finance, Public Utilities Reports, Inc., 2006, at 189) in estimating the cost of equity. The Zero-Beta CAPM calculates the product of the adjusted Beta coefficient and the MRP and applies a weight of 75.00 percent to that result. The model then applies a 25.00 percent weight to the MRP, without any effect from the Beta coefficient. The results of the two calculations are

summed, along with the risk-free rate, to produce the Zero-Beta CAPM result, as noted in Equation [4], below:

$$k_e = r_f + 0.75\beta(r_m - r_f) + 0.25(r_m - r_f) \qquad [4]$$

where:

k_e = the required market ROE

β = Adjusted Beta coefficient of an individual security

r_f = the risk-free rate of return

r_m = the required return on the market as a whole

In essence, the Zero-Beta form of the CAPM addresses the tendency of the "traditional" CAPM to underestimate the cost of equity for companies with lower Beta coefficients such as regulated utilities. In that regard, the Zero-Beta CAPM is not redundant to the use of adjusted Betas; rather, it recognizes the results of academic research indicating that the risk-return relationship is different (in essence, flatter) than estimated by the CAPM, and that the CAPM underestimates the "alpha," or the constant return term.

As with the CAPM, my application of the Zero-Beta CAPM uses the forward-looking MRP estimates, the three yields on 30-year Treasury securities noted earlier as the risk-free rate, and the Bloomberg and Value Line Beta coefficients. Exhibit___(JCN-5) shows the results of the CAPM

models. The traditional CAPM results range from 9.48 percent to 13.02 percent. The Zero-Beta CAPM results range from 9.81 percent to 13.16 percent. The range established by the average of the traditional CAPM and the Zero-Beta CAPM results is 9.65 percent to 13.09 percent with a mean of 11.28 percent.

C. Bond Yield Plus Risk Premium Analysis as a Test of Reasonableness

Q. Did you consider the results of any other model to test the reasonableness of your DCF and CAPM results?

A. Yes. I also considered the results of the Risk Premium analysis to evaluate whether the return estimates produced by the multi-stage DCF and CAPM methods are reasonable.

Q. Please describe the Risk Premium approach that you used.

A. In general terms, this approach recognizes that equity is riskier than debt because equity investors bear the residual risk associated with ownership. The Risk Premium approach estimates the cost of equity as the sum of the Equity Risk Premium and the yield on a particular class of bonds.

$$ROE = RP + Y \qquad [5]$$

Where:

RP = Risk Premium (difference between allowed ROE and the 30-Year Treasury Yield) and

Y = Applicable Treasury bond yield.

Since the equity risk premium is not directly observable, it is typically estimated using a variety of approaches, some of which incorporate *ex-ante*, or forward-looking estimates of the cost of equity, and others that consider historical, or *ex-post*, estimates. For my Risk Premium analysis, I have relied on authorized returns from a large sample of electric utility companies, as described below.

Q. What did your Risk Premium analysis reveal?

A. To estimate the relationship between risk premiums and interest rates, I conducted a regression analysis using the following equation:

$$RP = a + (b \times Y) \qquad [6]$$

where:

RP = Risk Premium (difference between allowed ROEs and the 30-Year Treasury Yield);

a = Intercept term;

b = Slope term; and

Y = 30-Year Treasury Yield.

Data regarding allowed ROEs were derived from 986 electric utility company rate cases from January 1992 through November 2024, as reported by Regulatory Research Associates ("RRA").

As demonstrated in Exhibit___(JCN-7), the risk premium varies with the level of the bond yield, and generally increases as bond yields decrease, and vice versa. To apply this relationship to current and expected bond yields, I considered three estimates of the 30-year Treasury yield, including the current three-month average, a near-term Blue Chip consensus forecast for Q1 2025 – Q1 2026, and a Blue Chip consensus forecast for 2026–2030. Based on the regression coefficients in Exhibit___(JCN-7), which allow for the estimation of the risk premium at varying bond yields, the results of my Risk Premium analysis range from 10.35 percent to 10.41 percent.

Q. Do investors consider returns for regulated utilities in other jurisdictions when they are determining their return requirements for CECONY?

A. Yes. Investors are informed by authorized ROEs from hundreds of rate case decisions to frame their return expectations. A fundamental principle in setting a just and reasonable return is that the return must be comparable to returns available to investors in companies with commensurate risk. In that regard, the returns that have been authorized for other electric and gas utility

companies are one relevant consideration for investors. Although I have not used the Risk Premium model as a primary analysis in arriving at my ROE recommendation, the Risk Premium results confirm the reasonableness of the multi-stage DCF and CAPM results.

Q. Have other utility regulators used the Risk Premium model as a primary methodology for estimating the authorized ROE?

A. Yes. The Risk Premium model has been used in other jurisdictions as a primary model to estimate the authorized ROE, including the following states: California, Florida, Georgia, North Carolina, Virginia, West Virginia, and Wisconsin. Also, New Jersey and Missouri have considered authorized returns in other jurisdictions as a check on the reasonableness of returns for the utilities they regulate.

D. WEIGHTED AVERAGE RESULTS

Q. Please summarize the results of your analysis and your recommended ROE.

A. As shown in Exhibit___(JCN-2), I have presented the DCF and CAPM results weighted equally, and with the Generic Finance RD's proposed 2/3 weighting of the DCF and 1/3 weighting of the CAPM. I did not include the Risk Premium analysis in my weighted average results. The average

results range from 10.31 percent to 10.55 percent, depending on the weighting assigned to the DCF and CAPM results.

Q. What was the Commission's reasoning for developing its weighting of the DCF and CAPM methodologies in the Generic Finance RD?

A. At the time of the Generic Finance RD, the Commission did not have a significant amount of experience with the CAPM and the Co-Facilitators in the GFP opted for a gradual transition toward the CAPM, ultimately settling on a 1/3 weighting, indicating that "proposals have simply not shown that the CAPM should be raised all at once to parity with the DCF analysis in the setting of returns on equity." (Generic Finance RD at 60). To the extent that this was a consideration in the RD's weighting determination, the Commission's almost 30 years of experience with the CAPM since that time now provides a sound basis for altering the weighting of the two ROE methodologies and raising the CAPM "to parity with the DCF analysis...." In recent years, several regulators have recognized the challenges associated with relying solely on the DCF model to establish the authorized ROE for regulated utilities. For example, the FERC considered what it termed "anomalous" market conditions as a basis for abandoning its practice of sole reliance on the DCF model to set ROEs for electric transmission companies which began in the 1980s (*See* Exhibit___(JCN-29), 165 FERC ¶ 61,030,

October 16, 2018, at para. 44-46). FERC now places equal weight on the DCF and CAPM results. Similarly, several states jurisdictions have recognized the importance of relying on multiple methodologies, while placing less weight on the DCF model (*see, e.g.*, (Exhibit___(JCN-30), Pennsylvania Public Utility Commission, PPL Electric Utilities, R-2012-2290597, meeting held December 5, 2012, at 80-81; (Exhibit___(JCN-31), Missouri Public Service Commission, GR-2017-0215, Report and Order, Issue Date February 21, 2018, at 32-34).

Q. Please summarize your conclusion regarding the relative weighting of the CAPM and DCF results.

A. Although the Generic Finance RD proposed the 2/3 weighting on the DCF, the weightings and methodologies used to estimate the ROE were left open for additional consideration in future rate proceedings. Since then, the Commission has employed the CAPM as one component of the formula used to develop the authorized ROE. There is no reason why the Commission should have less confidence in the results of the CAPM than those of the DCF. Therefore, it is reasonable to apply equal weight to the DCF and CAPM methods when determining the ROE for CECONY, and to test the reasonableness of these results with the Risk Premium model.

VII. BUSINESS AND REGULATORY RISKS

A. DECARBONIZATION POLICY AND CAPITAL SPENDING

Q. Are there recent developments that have increased the business risk for utilities generally in New York State?

A. Yes. New York State passed the Climate Leadership and Community Protection Act ("CLCPA"), which envisions carbon free electricity by 2040 and a net zero carbon economy by 2050. As it relates to CECONY, the New York Climate Action Council's Final Scoping Plan ("Scoping Plan") indicates that significant enhancements to the electric grid may be needed to "facilitate the integration of renewable energy, and prioritize clean resources" (*See* Exhibit___(JCN-32), New York State Climate Action Council. 2022, "New York State Climate Action Council Scoping Plan," http://climate.ny.gov/ScopingPlan, Full report December 2022 ("Scoping Plan"), at 240). Further, as it relates to the Company's gas distribution operations, "a substantial reduction of fossil natural gas use and strategic downsizing and decarbonization of the gas system" may be required to achieve emissions limits (*See* Scoping Plan at 350). This could result in significant financial and market risk for CECONY. While the implementation of this legislation continues to be a work-in-progress, the uncertainty surrounding it results in significant financial and market risk for utility companies as New York State considers alternatives to fossil fuels.

In January 2024, the Governor of New York State proposed new restrictions on natural gas, including repealing the requirement on utilities to hook up new customers on request and restricting gas distributors from expanding their service territories beginning in 2026. The Governor's proposal would also have given the Commission authority to retire portions of the gas system in cases where the commissioners determine retirement is necessary to achieve State climate goals. Although the bill was not adopted in the recently approved State budget, such changes will likely be considered in future legislative sessions.

Q. Please explain how implementation of the CLCPA's plans affects CECONY's risk profile.

A. To implement the CLCPA's objectives, significant investments are required for CECONY's electric transmission and distribution systems to modernize its infrastructure and provide safe and reliable service to customers. For electric utilities, the Scoping Plan identifies: (1) "proactive and timely investments in local transmission and distribution infrastructure" to facilitate distributed energy resources (Scoping Plan at 234); and (2) "significant investments in New York's electricity transmission and distribution system to allow for the utilization of new renewable and energy storage resources and to meet growing electric load due to electrification."

(Scoping Plan at 242). With regard to natural gas utility operations, methane emissions must be reduced requiring continued capital investments to replace leak prone pipe. (Scoping Plan at 358).

Q. Please summarize CECONY's projected capital expenditures over the next five years.

A. CECONY's projected capital investments will be approximately $4.6 billion to $7.8 billion per year from 2025-2028. This is an increase of about 30 percent to 120 percent over the 2020-2023 annual capital expenditures (which ranged from $3.1 billion to $4.1 billion) and represents 40 percent to 68 percent of the Company's net utility plant as of December 31, 2023. Further, CECONY's planned capital investments are equal to 2.4 to 4.0 times the Company's 2023 annual depreciation expense. Much of this increase in capital spending is attributable to investments that CECONY must make in response to the CLCPA.

To the extent CECONY's capital spending is above S&P Global's "base-case" assumption of $4.5 to $5.5 billion, this will put additional pressure on the Company's credit metrics. Moody's has commented on the challenges related to CECONY's capital spending needs as follows (*See* Confidential

Exhibit___(JCN-33), Moody's Investors Service, Credit Opinion: Consolidated Edison Company of New York, Inc., February 1, 2024, at 1):

> CECONY's credit is constrained by high capital spending to meet service requirements and the state of New York's energy transition plans, which could place additional pressure on customer rates and debt financing requirements. The company also faces longer-term challenges around its gas and steam distribution businesses, given state greenhouse gas (GHG) emissions targets and goals of significantly limiting the use of natural gas.

Q. Do credit rating agencies recognize the risks associated with significant capital expenditures?

A. Yes, they do. The additional pressure on cash flows associated with high levels of capital expenditures exerts corresponding pressure on credit metrics and, therefore, credit ratings. A 2016 S&P report (*See* Exhibit___(JCN-34), S&P Global Ratings, Ratings Direct, "Assessing U.S. Investor-Owned Utility Regulatory Environments," August 10, 2016, at 7) noted:

When applicable, a jurisdiction's willingness to support large capital projects with cash during construction is an important aspect of our analysis. This is especially true when the project represents a major addition to rate base and entails long lead times and technological risks that make it susceptible to construction delays. Broad support for all capital spending is the most credit-sustaining. Support for only specific types of capital spending, such as specific environmental projects or system integrity plans, is less so, but still favorable for creditors. Allowance of a cash return on construction work-in-progress or similar ratemaking methods historically were extraordinary measures for use in unusual circumstances, but when construction costs are rising, cash flow support could be crucial to maintain credit quality through the spending program. Even more favorable are those jurisdictions that present an opportunity for a higher return on capital projects as an incentive to investors.

Q. What are your conclusions regarding the effect of the required investments under the CLCPA on CECONY's cost of equity?

A. It is evident that CECONY's required capital expenditures to meet the CLCPA's objectives are significant. This elevated level of capital expenditures increases the importance of setting a return for CECONY that is within the range of reasonableness to support the financial integrity of the Company to allow for continued access to capital markets such that CECONY is able make investments for its customers and meet the objectives of the CLCPA.

Q. Are you proposing a specific premium to compensate investors for the risk of potential stranded assets?

A. No. My recommendation assumes the Company will be allowed full and fair recovery of its prudent investments.

B. Regulatory Risk Assessment

Q. Have you performed an analysis of the level of regulatory support that CECONY receives in New York State as compared to the proxy group companies?

A. Yes. I conducted an analysis of the regulatory protections that are in place for CECONY compared with those for the operating utility companies held by the proxy group companies. The results of my analysis are presented in Exhibit___(JCN-8). Specifically, I examined the following factors that affect the business risk of CECONY and the proxy group companies: (1) test year convention; (2) fuel cost recovery; (3) revenue decoupling; and (4) capital cost recovery.

As shown in Exhibit___(JCN-8), 53 percent of the operating companies (*i.e.,* 49 out of 92) held by the proxy group companies provide service in jurisdictions that allow the use of a fully or partially forecast test year. All of the operating companies held by the proxy group companies are allowed

to pass through fuel costs and purchased power costs directly to customers, so that the utility does not incur any risk associated with fuel or purchased power costs. It is important to recognize that fuel and purchased power costs typically account for 50 – 60 percent of the total operating costs for a regulated utility. Like CECONY, 58 percent of the operating utilities held by the proxy group companies (*i.e.*, 53 out of 92) have revenue decoupling mechanisms or weather normalization adjustment clauses that allow them to break the link between customer usage and revenues. Finally, approximately 59 percent of the operating utilities held by the proxy group (54 out of 92) have capital cost recovery mechanisms that allow them to recover capital investments that are placed into service between rate cases.

Q. Based on these analyses, what is your conclusion regarding the level of regulatory support for CECONY relative to that of the proxy group companies?

A. My conclusion is that CECONY has comparable regulatory protection to the proxy group companies. While the Commission has been a leader in implementing mechanisms that reduce the business risk of regulated utilities in New York, many other jurisdictions have taken similar steps in more recent years, leading to no meaningful difference in business risk between CECONY and the proxy group. It is also noteworthy that

regulatory mechanisms are generally implemented to address a particular issue or mitigate the effect of an incremental risk faced by the utility. For example, CECONY has implemented energy efficiency programs to help achieve climate change policy goals. These programs encourage lower sales volumes, and decoupling helps to mitigate that risk. Not all states have comparable policy goals and therefore not all utilities have the same incremental risk nor the need for such a regulatory mechanism. On balance, however, the suite of regulatory mechanisms available to the proxy companies and CECONY result in comparable risk levels. Despite a comparable degree of regulatory support through recovery mechanisms, the Commission has consistently provided some of the lowest equity returns in the nation as New York State's electric and gas utilities' average authorized ROEs were 52 basis points below the national average for electric and gas utilities from January 2021 to November 2024 (9.15 percent in New York State vs. 9.67 percent nationwide). (*See* Exhibit___(JCN-35), Source: RRA. January 2020 - November 2024 average authorized ROEs for states other than New York (excluding limited issue riders, formula rate plans, and penalty ROEs)). As shown in Exhibit___(JCN-35), the combination of low authorized ROEs and low equity ratios demonstrates that New York State is consistently in the bottom quartile of the lowest authorized ROEs and the lowest authorized equity ratios. Authorized returns at this level place New

York State utilities such as CECONY at a disadvantage in terms of competing for capital to finance the investments that are necessary to continue providing safe and reliable service to customers and to meet New York State's clean energy objectives.

Fitch has commented on the relatively low authorized ROEs and equity ratios in New York State: "Fitch considers the New York regulatory regime to be somewhat restrictive, with below-average authorized ROEs, but also partially balanced by a number of credit-positive regulatory mechanisms." (*see* Confidential Exhibit___(JCN-36), FitchRatings, Consolidated Edison Company of New York, Inc., September 4, 2024, at 2).

Q. Are there other risks to the Company that are specific to New York State utility regulation?

A. Yes. In addition to the low equity returns that are typically authorized by the Commission for New York State's electric and gas utilities, New York State utilities are subject to strictly enforced customer service quality, electric reliability, and gas safety measures where the utility is required to achieve predetermined performance benchmarks, or be subject to a negative revenue adjustment for any shortfall.

Q. Do the negative revenue adjustments associated with these performance metrics differentiate the Company from the proxy group companies?

A. Yes, they do. CECONY's exposure to these potential revenue adjustments places the Company at greater risk than proxy companies on average.

C. REGULATORY ENVIRONMENT

Q. Please explain how the regulatory framework affects investors' risk assessments.

A. The ratemaking process is premised on the principle that, for investors and companies to commit the capital needed to provide safe and reliable utility services, the subject utility must have the opportunity to recover its invested capital and the market-required return on such capital. Regulatory commissions recognize that because utility operations are capital intensive, regulatory decisions should enable the utility to attract capital at reasonable terms, which balance the long-term interests of investors and customers. In that respect, the regulatory framework in which a utility operates is one of the most important factors considered in both debt and equity investors' risk assessments.

Q. Do credit rating agencies consider the regulatory framework in establishing a company's credit rating?

A. Yes. Both Moody's and S&P assess the overall regulatory framework in establishing credit ratings for regulated utilities. As shown in Exhibit___(JCN-37), Moody's establishes credit ratings based on four key factors: Regulatory Framework; Ability to Recover Costs and Earn Returns; Diversification; and Financial Strength.

Two of these factors (*i.e.*, regulatory framework and the ability to recover costs and earn returns) are based on the regulatory environment such that half of Moody's overall assessment of business and financial risk for regulated utilities is based upon the regulatory environment (*see* Exhibit___(JCN-37)). Moody's Investor Service, Rating Methodology, Regulated Electric and Gas Utilities, June 23, 2017, at 4). Moody's observes (at 6) that "for rate-regulated utilities, which typically operate as a monopoly, the regulatory environment and how utility adapts to that environment are the most important credit considerations."

With respect to the regulatory framework, Moody's looks for transparency, predictability, and supportiveness of regulatory commissions. For the second factor, ability to recover costs and earn returns, Moody's evaluates

the regulatory elements that directly affect the ability of the utility to generate cash flow and service its debt over time. Moody's views (at 12) the ability to recover costs on a timely basis and to attract debt and equity capital as crucial credit considerations, noting that "[t]he inability to recover costs…has been one of the greatest drivers of financial stress in this sector." This is particularly true as utilities are often cash flow negative due to large capital expenditures, so any lack of timely recovery or sufficiency of rates can strain access to capital markets.

S&P has also identified the regulatory environment as an important factor, stating, "One significant aspect of regulatory risk that influences credit quality is the regulatory environment in the jurisdictions where a utility operates." (*See* Exhibit___(JCN-34) S&P Global Ratings, "Assessing U.S. Investor-Owned Utility Regulatory Environments," August 10, 2016, at 1).

Q. How does the regulatory environment in which a utility operates affect its access to and cost of capital?

A. The proportion and cost of debt capital available to utility companies are influenced by the rating agencies' assessment of the regulatory environment. Moody's has highlighted the relevance of a stable and predictable regulatory environment to a utility's credit quality, stating that

"[b]roadly speaking, the Regulatory Framework is the foundation for how all the decisions that affect utilities are made (including the setting of rates), as well as the predictability and consistency of decision-making provided by that foundation." (*See* Exhibit___(JCN-37) Moody's Investor Service, Rating Methodology, Regulated Electric and Gas Utilities, June 23, 2017, at 4).

Q. Are you aware of independent sources that have evaluated the regulatory environment in New York State as compared to other jurisdictions?

A. Yes. RRA, a division of S&P Capital IQ, views New York State's regulatory environment as "somewhat balanced" from an investor perspective, with lower than nationwide ROEs for electric and gas utilities offset by the use of forecast test years, revenue decoupling, and multi-year rate settlements that incorporate increasing rate bases and deferral accounting for increasing costs of labor and pensions. (*See* Confidential Exhibit___(JCN-38), S&P Capital IQ, RRA, as of October 8, 2024).

RRA ranks New York State as "Average/2", which is consistent with the majority of regulatory jurisdictions across the U.S. Average/2 is the median ranking given by RRA; there are 18 jurisdictions with a higher ranking, 18

jurisdictions with a lower ranking, and 17 jurisdictions with the same ranking. This puts New York State squarely in the middle of the range, supporting the conclusion that, even with the risk reducing measures implemented in New York State, there is no significant difference in overall regulatory risk between New York State and other jurisdictions.

UBS, an investment bank, ranks regulatory jurisdictions in the U.S. and Canada for purposes of determining whether to apply valuation discounts or premiums to the utility stocks it covers. Specifically, UBS places regulatory jurisdictions into five tiers based on the following equally weighted criteria: (1) whether commissioners are elected or appointed, (2) allowed returns relative to 10-year Treasury notes, (3) mechanisms that reduce regulatory lag, (4) rate and customer bill levels, (5) the tendency to settle or litigate rate cases, and (6) a subjective "investor friendliness" factor. (*See* Exhibit___(JCN-39) UBS Global Research, "North America Power & Utilities: Mind the Gap(s): 2021 Utility Outlook," December 14, 2020, at 5). Exhibit___(JCN-40) shows that UBS ranks New York State's regulatory environment in tier five out of five (with one being the best) in a July 2024 report. (UBS Global Research, "North America Power & Utilities: Updating Valuation & Regulatory Rankings," July 19, 2024, at 8).

The UBS ranking demonstrates that, from the perspective of equity investors, the overall regulatory environment in New York State is viewed as less favorable than the majority of U.S. jurisdictions. UBS notes that regulatory jurisdictions ranked in the third and fourth quartiles receive valuation discounts of two percent and six percent, respectively.

Q. What is your conclusion with regard to CECONY's business and regulatory risk?

A. It is important that the decision in this case, including the authorized ROE, is credit supportive. As discussed above, CECONY needs to make significant investments in programs designed to benefit customers and meet the objectives of the CLCPA. Any decline in credit ratings will increase costs to customers by increasing the cost of debt. Given the level of planned capital expenditures, any increases in borrowing costs due to a lower credit rating could have a significant negative effect on the costs to customers.

D. FLOTATION COSTS

Q. What are flotation costs?

A. Flotation costs are the costs associated with the sale of new issues of common stock. These costs include out-of-pocket expenditures for preparation, filing, underwriting, and other costs of issuance of common

stock. To the extent that a company is denied the opportunity to recover prudently incurred flotation costs, actual returns will fall short of expected (or required) returns, thereby diminishing the utility's ability to attract adequate capital on reasonable terms.

Q. Why is it important to recognize flotation costs in the authorized ROE?

A. Flotation costs are reflected on the utility's balance sheet as "paid in capital" and are not expensed on the utility's income statement. When a company issues common stock, flotation costs are incurred and netted against the proceeds from the issuance, thereby reducing the amount available for investment in rate base by the amount of the flotation costs. The authorized ROE is the most appropriate way for a regulated utility to recover these necessary costs. If CECONY is not allowed to recover its prudently incurred flotation costs through its ROE, its authorized return will be insufficient, and equity share value will be diluted. Staff has recognized the importance of recovering flotation costs when there is a reasonable expectation that such costs will be incurred (*see*, *e.g.*, Case No. 06-E-1433, 06-E-1547).

Q. Do academic and financial experts recognize the need to consider flotation costs in a utility's cost of equity?

A. Yes. Dr. Roger Morin, a recognized expert in regulatory economics and finance, summarizes (*see* Exhibit___(JCN-41) Roger A. Morin, New Regulatory Finance (Public Utility Reports, Inc., 2006), at 321):

> The costs of issuing these securities are just as real as operating and maintenance expenses or costs incurred to build utility plants, and fair regulatory treatment must permit recovery of these costs…. The simple fact of the matter is that common equity capital is not free…. [Flotation costs] must be recovered through a rate of return adjustment.

According to Dr. Shannon Pratt, a published expert in cost of capital estimation (*see* Exhibit___(JCN-42) Shannon P. Pratt, Cost of Capital Estimation and Applications, Second Edition, at 220-221):

> Flotation costs occur when new issues of stock or debt are sold to the public. The firm usually incurs several kinds of flotation or transaction costs, which reduce the actual proceeds received by the firm. Some of these are direct out-of-pocket outlays, such as fees paid to underwriters, legal expenses, and prospectus preparation costs. Because of this reduction in proceeds, the firm's required returns on these proceeds equate to a higher return to compensate for the additional costs. Flotation costs can be accounted for either by amortizing the cost, thus reducing the cash flow to discount, or by incorporating the cost into the cost of capital. Because flotation costs are not typically applied to operating cash flow, one must incorporate them into the cost of capital.

Q. How did you calculate flotation costs for CECONY?

A. Based on CECONY's costs shown in Exhibit___(JCN-9), flotation costs for the Company have equaled roughly 1.78 percent of gross equity raised. To reflect these issuance costs properly in my cost of capital estimates, it would require an 7 basis point addition to the ROE results produced by my ROE estimates for CECONY, as shown in Exhibit___(JCN-9). While I have not made an explicit adjustment to my ROE results, I have considered the effect of flotation costs in my recommendation.

VIII. CAPITAL STRUCTURE

Q. Please summarize the Company's proposed capital structure.

A. The Company is requesting a capital structure for ratemaking purposes that includes a common equity ratio of 48.00 percent.

Q. Have you conducted any analysis of the Company's proposed capital structure as compared with the proxy companies?

A. Yes. I have reviewed CECONY's proposed capital structure as compared with the actual capital structures of the operating companies in the proxy group for the most recently reported four years. As shown on Exhibit___(JCN-9), the mean and median annual equity ratio of the proxy

companies over that period are 53.34 percent and 53.35 percent, respectively.

Q. What do you conclude from this analysis?

A. The requested 48.00 percent common equity ratio is conservative considering the equity ratios of the proxy companies and the current business and financial risks of CECONY, including significant capital investment programs and credit metrics pressures. This information indicates that the utility operating subsidiaries owned by holding companies with business characteristics similar to CECONY have for the last four years maintained average common equity ratios more than five percentage points above the 48.00 percent equity ratio that CECONY is requesting in this proceeding. These higher proxy group equity ratios reflect a lower level of financial risk than the financial risk implied by the proposed 48.00 percent equity ratio.

Q. How does the Company's proposed equity ratio compare to authorized equity ratios in other jurisdictions?

A. Equity ratios that are typically authorized by the Commission for New York State's electric and gas utilities are considerably lower than equity ratios authorized by other jurisdictions (in January 2021-September 2024 average

authorized equity ratios in New York State were 3.78 percentage points below the national average for electric and gas utilities). According to RRA, January 2021-November 2024 average authorized equity ratios for states other than New York State (excluding limited issue riders) were 52.05 percent compared to an average authorized equity ratio of 48.20 percent in New York State. Rate cases in Arkansas, Florida, Indiana, and Michigan have been excluded from the analysis since the authorized capital structure approved in the cases includes deferred taxes and other credits as non-investor supplied capital. Further, the Commission's recently authorized equity ratios of 48.00 percent are inconsistent with the trend in other jurisdictions. As shown in Exhibit___(JCN-43), the average authorized equity ratio for the operating utility subsidiaries of the proxy companies has consistently increased over the last two decades and was 52.06 percent in 2024.

Therefore, I conclude that CECONY's requested equity ratio of 48.00 percent should be considered a lower bound on the equity ratio relative to the range of reasonableness established by industry practice. As such, it would be reasonable for the Commission to use higher equity ratios for CECONY closer to those of the proxy group operating companies for ratemaking purposes. The lower equity ratio also implies that CECONY

has greater financial risk than the operating companies of the proxy group, which, all else equal, suggests that investors require a higher ROE for an investment in the Company as compared to other similarly situated utilities.

IX. MULTI-YEAR RATE PLAN

Q. Would a multi-year rate plan impact your ROE recommendation?

A. Yes, it would. The Commission has in many cases adopted Joint Proposals covering multi-year periods that include stay-out premiums. In keeping with Commission precedent, a stay-out premium would reflect the increased risk faced by the Company under a multi-year rate plan.

Q. What are the relevant risk factors to equity investors inherent in a multi-year stay-out?

A. As described in Section IV above, persistent core inflation and elevated interest rates are the predominant factors in the current economic environment. As such, the Company is exposed to changes in underlying costs that deviate from expected levels of inflation. However, the stay-out premium associated with a multi-year rate plan should not only compensate investors for changes in the level of interest rates and inflation, but also for the potential risk of under-earning that is introduced by "staying out." By staying out of rate cases, the utility may not fully recover material amounts

of capital expenditures and may be required to absorb losses due to differences between the cost of service established in the rate plan and actual levels of revenue and expense. The premium should compensate the utility and its investors for these additional risks over and above interest rate risk.

Q. What do you propose as the stay-out premium for a three-year rate plan?

A. My ROE recommendation of 10.50 percent will not provide the Company a return commensurate with the return available on investments of similar risk over the term of the multi-year rate plan without an adequate stay-out premium. Consistent with prior cases in which a stay-out premium was included in multi-year rate plans, I recommend that a stay-out premium be included in this multi-year rate plan. I believe 50 basis points is a reasonable, albeit conservative, reflection of the incremental risk to the Company under a multi-year stay-out provision.

X. CONCLUSION AND RECOMMENDATION

Q. What is your conclusion regarding a fair return on book equity for CECONY?

A. My recommended return on book equity considers the results of the DCF and CAPM models, summarized in Exhibit___(JCN-2), and the specific risks to which the Company is exposed. I conclude that the appropriate ROE for the Company is within the range of 10.00 percent and 11.00 percent. From within that range, and considering the Company's risk profile, I recommend an ROE of 10.50 percent for CECONY.

Furthermore, if the Commission approves a multi-year rate plan, typically covering three years, a stay-out premium of 50 basis points should be added to the ROE.

Q. Does this conclude your Direct Testimony?

A. Yes, it does.